

BARBEQUE-NATION OFFER AT A GLANCE	
Offer Type	Book Built
Platform	Main Frame
Fresh Issue	Rs 180 Cr
Offer for Sale	Rs 272.9 Cr
Face Value	Rs 5
Price Band	Rs 498 - 500
Mkt/Bid Lot	30 Nos.
Implied M-Cap	Rs 1,877 Cr
Implied Eq-Cap	Rs 18.77 Cr
Implied Free Float	62.21%
Lead Manager	IIFL Sec, Axis Cap, Ambit Cap, SBI Cap.
Registrar	Link Intime
Listing At	BSE, NSE

INDICATIVE ISSUE SCHEDULE	
Opening : 24-Mar-2021	Closing : 26-Mar-2021
Allotment : 01-Apr-2021	Refunding : 05-Apr-2021
Demat Credit : 06-Apr-2021	Trading : 07-Apr-2021

Lineage

The Dhananis of Vadodara (formerly Baroda) are not new to investors. They have had at least five listed companies in last thirty years. But, none of them has a credible record to speak about. Change is constant for Dhananis. In the nineties all the Dhanani brothers were based in Vadodara. Now, one is in Mumbai, another in Bengaluru and the deceased one's family is at Indore. Initially, the group was operating under the banner 'Liberty'. Later, they floated companies under the name 'Sayaji'. And, now, it is Barbeque.

Shifting registered offices is also common for the Dhananis. When Sayaji Hotels went public its registered office was in Vadodara. Sayaji hotel is still in Vadodara but, the company's registered office has been shifted to Chennai and administrative office to Indore. Barbeque was originally registered at Indore but subsequently shifted to Bengaluru.

Another peculiarity of the group is changing the companies' names. Monali Land and Housing Co became Sayaji Hotels before it went public. Growmore Fertilizers became Hindustan Rasayan and went public in 1995. The name was further changed to Liberty Phosphate and was finally sold to the Murugappa group. Barbeque-Nation was originally incorporated as Sanchi Hotels.

Coming to the quality of disclosures and credibility of the promoters, the 1992-IPO prospectus of Sayaji Hotels claimed that there was no listed company under the same management. Come 1995. Hindustan Rasayan prospectus revealed that Divya Chemicals, which raised Rs 9.25 cr through a rights issue in 1992, was a group company, as **R R Dhanani** was one of the promoters!

While Barbeque's offer document presents the financials of Sayaji Hotels, it does not reveal about the performance of the other public companies connected with the Dhananis. What happened to the once listed Divya Chemicals (co-promoted by Dhananis) and M P Agro Morarji (listed company taken over by Dhananis in 1991)? Hindustan Rasayan collected a premium of Rs 10 for a share in 1995 boasting that it was a 'profit making dividend paying company'. But, post-public issue, the price dropped to Re 1 in the face of dismal working performance.

Though Barbeque's RHP lists Welterman International as a group company, it does not reveal the performance of that company. Welterman, where Barbeque's MD Kayum Dhanani holds the single largest stake of more than 45%, was last traded at Rs 2.70 against its paid up value of Rs 10. Welterman has accumulated losses amounting to over Rs 17 cr against its capital of Rs 4.44 cr.

Coming to the prominent listed company of the group, Sayaji Hotels' consolidated loss has been mounting in last five fiscals. Notwithstanding the poor working performance, its share price has witnessed an upsurge since the filing of Barbeque's offer document as the company is claimed to be the main promoter of Barbeque. However, the fact is, the listed Sayaji Hotels does not hold any share in Barbeque. Its entire holding of 37.18% has been transferred to its wholly owned subsidiary, Sayaji Housekeeping, at just par value for reasons best known only to the Dhananis. One should not be surprised, if Sayaji Housekeeping is spun off sooner than later to unlock the value.

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